

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

INTERMODAL MOTOR CARRIERS CONFERENCE, AMERICAN TRUCKING ASSOCIATIONS, INC., *Complainant*

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION INC.; CONSOLIDATED CHASSIS MANAGEMENT, LLC; CMA CGM S.A.; COSCO SHIPPING LINES CO. LTD.; EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO. 011982; HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK A/S; MSC MEDITERRANEAN SHIPPING COMPANY S.A.; OCEAN NETWORK EXPRESS PTE. LTD.; WAN HAI LINES LTD.; YANG MING MARINE TRANSPORT CORP.; AND ZIM INTEGRATED SHIPPING SERVICES, *Respondents*.

DOCKET NO. 20-14

Served: December 10, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

REMAND DECISION DISMISSING REMAINING CLAIMS¹

I. INTRODUCTION

A. Summary

On August 24, 2020, Complainant Intermodal Motor Carriers Conference, American Trucking Associations, Inc. (“IMCC”) filed a complaint alleging violations of the Shipping Act of 1984, as amended (“Shipping Act”) by Respondents Ocean Carrier Equipment Management Association Inc. (“OCEMA”), Consolidated Chassis Management, LLC (“CCM”), and eleven individual ocean common carriers (“ocean carriers”).

Complainant IMCC is “a conference of the American Trucking Association, Inc. that represents the interests of motor carriers hired to transport containerized cargo between U.S. ports and inland facilities. Securing the chassis (wheeled metal frames) required to transport containers over the road between ports and inland facilities is an essential part of the motor carriers’ business.” Order Affirming Initial Decision and Remanding for Further Proceedings (“Commission Order”) at 3 (citations omitted). The complaint alleged Shipping Act violations

¹ This decision dismissing the remaining claims on remand will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

stemming from the CCM Pool rules, box rules at the Pool of Pools (“POP”) in Los Angeles/Long Beach, and withdrawals from pools governed by the CCM Pool Agreement, as well as ocean common carrier Respondents’ contracting practices with regard to merchant haulage (“MH”), for which the motor carrier or the beneficial cargo owner is contractually responsible. Complaint at 2-3.

Each of the thirteen Respondents filed an answer denying the allegations and raising affirmative defenses. Extensive discovery in four test regions selected by the parties was completed on April 15, 2022. On June 16, 2022, the parties completed briefing on their motions for summary decision.

On February 6, 2023, an Initial Decision (“I.D.”) was issued, partially granting IMCC’s motion for summary decision and denying the motions for summary decision filed by Respondents. For the four test regions, the Initial Decision found a violation of Section 41102(c) of the Shipping Act for Respondents’ exclusive chassis practices in CCM rules and ocean carrier contracts which limited a motor carriers’ ability to choose their own chassis provider for merchant haulage. The Initial Decision also found that the Commission has the authority to prevent regulated entities from withdrawing from interoperable pools and that ocean carrier designation of an intermodal equipment provider (“IEP”) in the Pool of Pools at the ports of Los Angeles and Long Beach, while such designation cannot be altered by motor carriers for MH, violates the Shipping Act.

On February 13, 2024, the Commission issued an Order Affirming Initial Decision and Remanding for Further Proceedings. On June 5, 2024, the Commission issued another order holding in abeyance petitions for reconsideration and granting leave to file an amicus brief. The parties have filed two joint status reports addressing what they believe are the remaining issues in this proceeding.

While this case has been pending, there have been significant changes to the supply chain, including the chassis required to transport shipping containers. The Ocean Shipping Reform Act of 2022 (“OSRA 2022”) was signed into law on June 16, 2022. Pub. L. No. 117-146, 136 Stat. 1272 (June 16, 2022). In part, OSRA 2022 directed the Commission to partner with the Transportation Research Board (“TRB”) to study the “best practices for on-terminal or near-terminal chassis pools that provide service to marine terminal operators, motor carriers, railroads, and other stakeholders that use the chassis pools, with the goal of optimizing supply chain efficiency and effectiveness.” Public Law 117-146, 136 Stat. 1272 (June 16, 2022). The consensus study report by the TRB and the National Academies of Sciences, Engineering, and Medicine, *Intermodal Chassis Provisioning and Supply Chain Efficiency*, was issued in 2024 and is available at: <https://nap.nationalacademies.org/catalog/27806/intermodal-chassis-provisioning-and-supply-chain-efficiency-equipment-availability-choice> (“TRB Report”). The study concluded that “policy interventions that seek to fine-tune the functioning and efficiency of the chassis provisioning system would be difficult to design in a manner that would be responsive to the circumstances of the country’s highly varied drayage markets and to the changing dynamics of the marketplace.” *Id.* at 6.

As discussed below, the significant changes in factual circumstances between those described in the complaint and now – exacerbated by the changing dynamics of the chassis

market, changes compelled by the underlying decisions in this case, winding down of CCM managed cooperative interoperable pools, and ocean carrier contracts with IEPs having predominantly expired or been superseded by amendment – render the remaining issues as moot. Therefore, the remaining claims are dismissed, without prejudice, as moot.

The analysis begins with a summary of the procedural history, followed by a discussion of CCH and ocean carrier contracts.

B. Procedural History

1. Initial Decision

The Initial Decision adjudicated motions for summary decision for four geographic regions: Los Angeles/Long Beach, Chicago, Savannah, and Memphis. The Initial Decision found “as a matter of law, based on the undisputed material facts that the *exclusive* chassis agreements at issue violate the Shipping Act when the motor carrier is not able to utilize the chassis provider of its choice for MH transportation” but that *default* chassis agreements did not violate the Shipping Act “when the default arrangement does not prevent motor carriers from unilaterally using the chassis provider of their choice [for MH].” I.D. at 4 (emphasis added). Specifically, the Initial Decision found:

[T]he practices found to be unreasonable are CCMP Operating Rules which limit motor carrier choice of chassis providers for MH; the contractual linkage of [carrier haulage (“CH”)] price with MH volume; the designation of IEPs by Respondent ocean carriers for MH when motor carriers cannot unilaterally select a chassis provider of their choice; and ocean carrier designation of an IEP in the POP at the ports of Los Angeles and Long Beach, while such designation cannot be altered by motor carriers for MH.

I.D. at 56-57. The Initial Decision found the exclusive chassis agreements unreasonable as a matter of law. I.D. at 47.

The Initial Decision imposed a cease-and-desist order, requiring that “Respondents shall cease and desist from violating the Shipping Act in Chicago, Los Angeles/Long Beach, Memphis, and Savannah by ceasing and desisting adopting, maintaining, and/or enforcing any regulations or practices that limit the ability of a motor carrier to select the chassis provider of its choice for merchant haulage.” I.D. at 61.

The parties were given an opportunity to appeal the Initial Decision “prior to determining next steps, including final briefing on the remaining issues in these four regions and discovery regarding other geographic regions.” I.D. at 5. The Initial Decision identified the remaining issues to include allegations relating to whether withdrawal from an interoperable chassis pool violates section 41102(c) and whether reparations are appropriate. I.D. at 5, 52, 57.

2. Commission Order

On February 13, 2024, the Commission issued an Order Affirming Initial Decision and Remanding for Further Proceedings. The Commission found that “rules and practices

designating an exclusive chassis provider for merchant haulage and using merchant haulage volume to lower their carrier haulage rates when motor carriers have no choice of providers are unreasonable under Section 41102(c).” Remand Order at 2. The Commission affirmed the Initial Decision and remanded the proceeding “to resolve the remaining claims and for further proceedings consistent with this Order.” Commission Order at 72.

3. Order Requiring First JSR

On February 23, 2024, an order was issued requiring the parties to file a joint status report with proposed schedule, discussing whether any issues remain for the four test markets in addition to interoperable chassis pools and reparations and, for the remaining issues, whether any discovery is needed before briefing on the merits. Order Requiring Joint Status Report at 1-2. The parties were also required to explain the scope of any requested discovery and its relevance to the remaining issues. *Id.*

4. First JSR

On March 14, 2024, Respondents filed joint and individual motions for reconsideration. On March 25, 2024, the parties filed their first remand joint status report (“First JSR”). In the First JSR, the parties primarily addressed the scope of the remaining proceedings and proposed scheduling.

Complainant IMCC identified two factors driving the scope of the remand proceeding, which can be described as: (1) whether CCM rules enjoined in the Remand Order can be enjoined in other locations and (2) what additional steps are needed at the Pool of Pools. First JSR at 2. IMCC requested a compliance report regarding how Respondents have complied and intend to comply with the Commission’s decision, the status of the Pool of Pools, and operational conditions at Savannah and Memphis under the new “SACP 3.0,” and further requested a second joint status report that would outline the remaining issues in the case, any discovery that may be needed, and a more detailed proposed schedule. *Id.* at 2-5. IMCC asserted that “pool operations at other geographies are not an issue” and that it “has no present intention to seek relief with respect to the operation of pools at locations beyond the four initial geographies.” *Id.* at 5. Moreover, IMCC asserted that Respondents “should explain why the Commission’s relief directed toward CCM rules and ocean carrier-IEP contracts should not become nationwide on the existing record.” *Id.*

In the First JSR, Respondents stated that they “seek to comply with the Decision’s cease and desist order through the restructuring of their obligations that are within their control” but that this matter should be stayed until the Commission rules on the request for reconsideration; that there is a new chassis provision model in the Southeast known as “SACP 3.0” and there have been “fundamental changes in the structure of the chassis pool in Savannah since the commencement of this proceeding;” that operational changes have occurred in the mid-south chassis consolidation pool; and that the conduct at issue in this proceeding should not be enjoined nationwide on the basis of the limited, existing record because reasonableness is a question of fact. First JSR at 6-9.

5. Order on Petition for Reconsideration

On June 5, 2024, the Commission issued an Order Holding in Abeyance Petitions for Reconsideration and Granting Leave to File Amicus Brief (“Reconsideration Order”). The Commission determined to hold Respondents’ petitions for reconsideration in abeyance as premature under Commission Rule 261, pending a final ruling on the remaining claims. Reconsideration Order at 2.

6. Order Requiring Second Joint Status Report

On July 23, 2024, an order was issued requiring a second remand joint status report, stating:

The Commission remanded this proceeding for a final ruling on the remaining claims. The remaining claims are those claims raised in the complaint filed on August 17, 2020, that have not been decided. The parties were asked in the JSR to identify next steps, including the remaining issues.

In their JSR, the parties focus on changes in the industry since the initial decision, including compliance with the cease-and-desist order. It is not clear to the undersigned that compliance with the cease-and-desist order is within the scope of this proceeding. Compliance issues may be more appropriately addressed after a final decision in this proceeding. In addition, on June 18, 2024, the Commission initiated a non-adjudicatory investigation regarding compliance with chassis practices. FMC Special Investigation No. 24-02.

This proceeding is focused on deciding the allegations in the complaint and compliance issues may be better raised elsewhere. Therefore, the compliance report requested by IMCC will not be required. However, understanding the current status of chassis provision in various markets may be helpful in determining what remaining issues need to be addressed. Moreover, IMCC states that it does not seek reparations. Therefore, fact finding regarding specific violations, and imposition of reparations, may not be necessary.

Order Requiring Second JSR at 3.

The order further stated:

This proceeding was initiated by IMCC, alleging violation of the Shipping Act, section 41102(c). IMCC must clarify its position with respect to relief requested for non-CCM pools outside of Chicago, Los Angeles/Long Beach, Memphis, and Savannah. Further, IMCC should identify any practices by OCEMA, CCM, or the other respondents that were raised in the complaint and that remain unresolved and not moot, which are not discussed above as part of CCM pools or the POP. More broadly, the parties should both address other geographic regions, outside of those covered entirely by CCM pools, and indicate whether any issues raised in the complaint about those regions need to be addressed.

Order Requiring Second JSR at 5.

7. Second JSR

On August 23, 2024, the parties filed their second remand joint status report (“Second JSR”). In the Second JSR, the parties address: (a) CCM rules, (b) ocean carrier contracts and practices, (c) the Los Angeles/Long Beach Pool of Pools, (d) reparations, (e) factual clarifications, and (f) a proposed schedule. The parties’ positions regarding each of these issues are summarized below.

a. CCM Rules

In the Second JSR, Complainant IMCC requests that the Commission’s Order with respect to CCM be expanded nationwide, including to any pools not yet in existence, and that CCM be required to give IMCC sixty days’ notice of any revision to the CCM Operations Manual pertaining to MH chassis choice. Second JSR at 2-3. IMCC states that:

CCM Pools has posted Version 4.8 of its Operations Manual, effective May 1, 2024. Version 4.8 revises Sections 5.5 and 5.7 of the Manual to permit unilateral reassignment of usage on merchant haulage (“MH”) moves to an equipment provider other than the default provider without the need for ocean carrier or equipment provider consent. IMCC welcomes these revisions to CCM’s Operating Manual.

Id. at 2. IMCC argues that “Respondents’ voluntary cessation of particular conduct that may recur in the future does not render IMCC’s current requested relief moot.” *Id.* at 3 n.3.

In the Second JSR, Respondents assert that regarding other CCM chassis pool locations, “discovery is necessary and was always contemplated as such prior to entry of any findings with respect to other markets” and that “the further discovery which is required will depend upon the ports and terminals which IMCC identifies.” Second JSR at 4-5. Respondents further assert that “the relevant chassis use agreements for SACP 3.0 do not incorporate the Operations Manual by reference and therefore usage in SACP 3.0 is not governed by the Operations Manual,” that “the rules have been amended to eliminate the issues raised in the Complaint,” and “all cooperative interoperable pools owned by OCEMA and managed by CCM are in the process of permanently winding down operations.” *Id.* at 4 n.4, 7. Additionally, Respondents assert that other geographic regions have different chassis provision models and that trucker-owned wheels may be a viable option. *Id.* at 5.

b. Ocean Carrier Contracts and Practices

IMCC states that it seeks to extend the Initial Decision nationwide, including elimination of current and future provisions and practices in or relating to ocean carrier contracts with IEPs that: restrict the unilateral decision of a motor carrier to select the chassis of its choice in MH movements; link MH chassis volumes with carrier haulage prices; and effectively lock the motor carrier’s usage to the ocean carrier’s default chassis provider for MH movements, including at wheeled terminals. Second JSR at 7-8.

Respondents “reiterate the need for further discovery prior to the application of the findings in the I.D. to any market beyond the four test locations,” and assert that “in most, if not all, locations beyond the four test locations, motor carriers essentially always have a choice of chassis providers.” Second JSR at 10-11. Regarding non-CCM pools, Respondents state that “no two locations share the same chassis provisioning model” and that “IMCC should first be required to specifically identify the ports and terminals to which the ruling should be extended,” after which discovery should be permitted for those locations. *Id.* at 11-12. For example, at many inland rail locations, “the ocean carrier is the sole party held responsible for ensuring an adequate supply of chassis to receive its containers,” and at the Port of Charleston and the Port of Norfolk, chassis are provided directly by the ports. *Id.* at 12-13. Respondents contend that “reasonableness is a factual issue which must be determined at each geographic location.” *Id.* at 13.

c. Los Angeles/Long Beach Pool of Pools

“IMCC’s position is that the Pool of Pools is unique, and that the analysis pertaining to it does not apply to any other current pool” and “any remaining issues are more properly subject to the ongoing enforcement investigation.” Second JSR at 14. “Respondents generally agree that there are no remaining issues raised in the Complaint with respect to the Pool of Pools requiring further proceedings and that the Pool of Pools operates under a unique model.” *Id.*

d. Reparations

IMCC states that it is not, itself, seeking reparations. Second JSR at 14. “Respondents agree that IMCC has not sought reparations in this proceeding.” *Id.* at 15.

e. Factual Clarifications

IMCC states that Respondents are in the best position to clarify locations served by CCM chassis pools and SACP 3.0. Second JSR at 15. Respondents contend that the “cooperative interoperable chassis pools owned by OCEMA’s subsidiary UIE Pools LLC and managed by CCM” have all “notified participants that the pool will be terminating and are now in the process of final wind-down.” *Id.* Further, “SACP 3.0 is a descriptor for the current operating model for the UIE Pools LLC owned/CCM managed pool operating in the South Atlantic region,” including Savannah, as of October 1, 2023, although “SACP 3.0 is not the sole source of chassis in the South Atlantic region and, in fact, trucker-provided wheels now constitute between 40-60% of gate moves in the South Atlantic region at locations at which SACP 3.0 operates” and “rates and pool rules are set forth in a uniform and publicly-available tariff.” *Id.* at 16. Respondents assert that “SACP 3.0 imposes no restrictions on a motor carrier’s ability to use chassis from the pool for MH moves by contracting directly with CCM (or to source and utilize chassis from outside of the pool).” *Id.*

f. Proposed Schedule

IMCC “believes that no additional factual discovery is needed to support IMCC’s motion to extend the Initial Decision’s relief nationwide” and proposes a briefing schedule. Second JSR at 16-17.

Respondents “believe that nothing further is required from the Presiding Officer or the Commission at this time,” as “essentially all prior findings have been rendered moot with respect to the four test markets and would make little sense as applied to others” and urge that “rather than needlessly expending further time and expense, Respondents believe the matter should be concluded.” Second JSR at 17. If the proceeding continues, Respondents contend that “IMCC should first be required to identify the specific ports and inland terminals to which the I.D. should apply and a schedule for conducting discovery with respect to each of those locations should be established.” *Id.* at 18.

II. DISCUSSION

A. Remaining Claims

Before determining whether the Commission’s Order should be expanded nationwide – both for CCM rules and ocean carrier contracts – it is necessary to determine if any remaining issues were raised in the complaint that have not been decided and have not become moot. The cease-and-desist order regarding the four test regions was not remanded and this decision does not address any issues that were previously decided in this proceeding. This order is focused only on determining whether or not there are *remaining* issues raised in the complaint that have not been satisfied.

The parties agree that a number of issues are no longer remaining. Specifically, the parties agree that the Pool of Pools is unique and that any remaining issues regarding it are more appropriately resolved as part of the pending enforcement proceeding. Second JSR at 14. In addition, the parties agree that reparations are not being sought by IMCC. *Id.* at 15. Rather, IMCC seeks to extend the Commission Order nationwide with respect to CCM rules and ocean carrier contracts and practices, including to any pools not yet in existence. *Id.* at 16. The CCM pools will be addressed first, followed by the ocean common carrier contracts.

B. CCM

IMCC has not identified any current OCEMA or CCM practices at specific ports that it challenges. Instead, it seeks “to extend the Commission’s Order with respect to CCM nationwide, including with respect to any pool not yet in existence.” Second JSR at 2. However, IMCC acknowledges that the CCM Pools’ Operations Manual version 4.8, effective May 1, 2024, “revises Sections 5.5 and 5.7 of the Manual to permit unilateral reassignment of usage on merchant haulage (‘MH’) moves to an equipment provider other than the default provider without the need for ocean carrier or equipment provider consent. IMCC welcomes these revisions to CCM’s Operating Manual.” *Id.* Thus, IMCC agrees that the CCM Manual provisions at issue in the complaint are no longer utilized. Moreover, Respondents indicate that “all cooperative interoperable pools owned by OCEMA and managed by CCM are in the process of permanently winding down operations.” Second JSR at 4 n.4, 7.

When a complaint is filed, the Shipping Act requires the Commission to “make an appropriate order” if “the complaint is not satisfied.” 46 U.S.C. § 41301(c). This is similar to federal courts, which “lack jurisdiction to decide moot cases because their constitutional authority extends only to actual cases or controversies.” *Larsen v. U.S. Navy*, 525 F.3d 1, 4

(D.C. Cir. 2008) (quoting *Iron Arrow Honor Soc’y v. Heckler*, 464 U.S. 67, 70 (1983)). The Supreme Court has stated that “[w]e have repeatedly held that an ‘actual controversy’ must exist not only ‘at the time the complaint is filed,’ but through ‘all stages’ of the litigation.” *Already, LLC v. Nike, Inc.*, 568 U.S. 85, 90–91 (2013) (citation omitted).

“The underlying concern is that, when the challenged conduct ceases such that ‘there is no reasonable expectation that the wrong will be repeated[,]’ then it becomes impossible for the court to grant ‘any effectual relief whatever to [the] prevailing party.’” *City of Erie v. Pap’s A.M.*, 529 U.S. 277, 287 (2000) (citations omitted).

The Commission has dismissed cases when they became moot. Where a disputed fee was removed from the terminal schedule before it went into effect, the Commission dismissed the case as moot. *Petition of Direct Chassislink, Inc., Flexi-Van Leasing, Inc., & Trac Intermodal For an Order to Show Cause*, Petition No. P2-16, 2017 WL 2437501, at *1 (FMC June 1, 2017). Similarly, where a disputed charge was refunded, the Commission dismissed the issue as moot. *Mediterranean Shipping Company – Investigation for Compliance With §§ 41104(A) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, 7 F.M.C.2d 14, 20 (FMC Sept. 29, 2023) (charge was fully refunded, accordingly, “the refund issue is now moot.”). In a case where service contract provisions in dispute were no longer in use, and the respondents agreed not to reintroduce them, the issue was dismissed as moot. *Distribution Services Ltd. v. Asia North America Eastbound Rate Agreement*, Docket No. 90-02, 1990 WL 454990 at *1, *3 (ALJ Nov. 2, 1990) (admin. final Dec. 7, 1990). Indeed, as early as 1939, in a case where the defendants disbanded a conference and voluntarily withdrew their contract rate system, the Commission’s predecessor, the United States Maritime Board, dismissed the complaint as moot. *Kerr Steamship Co., Inc. v. Isthmian Steamship Co.*, 2 U.S.M.C. 93 (USMC July 25, 1939).

Respondents assert that the specific CCM rules challenged “have been amended to eliminate the issues raised in the Complaint,” that “all cooperative interoperable pools owned by OCEMA and managed by CCM are in the process of permanently winding down operations,” and “the issues raised in the Complaint are accordingly moot, and no further rulings are required.” Second JSR at 7. IMCC acknowledges that the new rules “permit unilateral reassignment of usage on merchant haulage (‘MH’) moves to an equipment provider other than the default provider without the need for ocean carrier or equipment provider consent” and that “IMCC welcomes these revisions to CCM’s Operating Manual.” *Id.* at 2. Thus, it appears that the parties agree that the rules adopted by OCEMA and CCM that were objected to in the complaint have been withdrawn. This suggests that this issue has been satisfied and is moot unless an exception to the mootness doctrine applies.

There are two exceptions to the mootness doctrine. The first is the capable of repetition, yet evading review exception, which “applies only ‘where (1) the challenged action is in its duration too short to be fully litigated prior to cessation or expiration, and (2) there is a reasonable expectation that the same complaining party will be subject to the same action again.’” *Cierco v. Mnuchin*, 857 F.3d 407, 415 (D.C. Cir. 2017) (quoting *Davis v. FEC*, 554 U.S. 724, 735 (2008)). IMCC does not suggest that the capable of repetition yet evading review mootness exception applies, and it would not, as chassis practices are not of short duration. Rather, IMCC asserts that the voluntary cessation exception should apply. Second JSR at 3 n.3.

The second mootness exception, voluntary cessation, “exists for cases in which a party voluntarily ceases the challenged activity. When the exception applies, the case remains live unless it is ‘absolutely clear the allegedly wrongful behavior could not reasonably be expected to recur.’” *Pub. Citizen, Inc. v. FERC*, 92 F.4th 1124, 1128 (D.C. Cir. 2024) (quoting *Friends of the Earth, Inc. v. Laidlaw Env’t Servs.*, 528 U.S. 167, 190 (2000)). The heightened voluntary-cessation standard is grounded in concerns that a party may be manipulating ‘the judicial process through the false pretense of singlehandedly ending a dispute.’” *Id.* (quoting *Guedes v. Bureau of Alcohol, Tobacco, Firearms & Explosives*, 920 F.3d 1, 15 (D.C. Cir. 2019) (per curiam)).

Here, the cessation by Respondents and the decision to wind down operations do not appear to be an effort to manipulate the judicial process, but rather, a response to changing dynamics of the marketplace and the underlying decisions.

Unlike *Erie*, where the winning party sought to have the case declared moot, here it is the party whose conduct was found to violate the Shipping Act in test regions which seeks a finding of mootness for the other geographic regions, so there is no risk of “preventing litigants from attempting to manipulate the Court’s jurisdiction to insulate a favorable decision from review.” *City of Erie v. Pap’s A.M.*, 529 U.S. at 278, 288. A finding of mootness at this juncture does not alter the findings in the underlying decisions. “What matters is not whether a defendant repudiates its past actions, but what repudiation can prove about its future conduct.” *Fed. Bureau of Investigation v. Fikre*, 601 U.S. 234, 244 (2024).

The unreasonable practice of operating rules which limit motor carrier choice of chassis providers for MH, found to violate the Shipping Act in the test regions, is not reasonably expected to recur in other regions as the operating manual has already been changed and all cooperative interoperable pools owned by OCEMA and managed by CCM are in the process of permanently winding down operations.

In light of CCM’s reformed practices, which appear to have resolved the concerns raised in the complaint related to OCEMA and CCM, the burdens of continuing this litigation vastly outweigh any benefit. Continuing this proceeding for CCM managed pools would require costly and time-consuming discovery, would delay a final decision, and would not impact any current practices. It is not an efficient use of party or Commission resources. Moreover, the Initial Decision and Commission Order and the reasoning behind them still stand. If new rules limit the ability of motor carriers to select the chassis provider of their choice, those practices will need to meet the legal requirements outlined in the decisions in this proceeding.

IMCC also requests an order that requires CCM to give IMCC sixty days’ notice of any revisions to the CCM Operations Manual pertaining to MH chassis choice; however, IMCC does not provide any legal basis for such an order. Second JSR at 3. The Commission may order reparations for actual damages and cease-and-desist orders. However, similar to the request for compliance reports IMCC made in the First JSR, the request for an order that would require notice of revisions to the policy appears to be outside of the jurisdiction of the undersigned.

The only remaining issue then is IMCC’s request to expand nationwide “current and future” contract provisions without additional discovery.

C. Ocean Carrier Contracts

With regard to ocean carrier contracts and practices, IMCC seeks to extend the Commission decision nationwide, specifically the “[e]limination of current and future provisions.” Second JSR at 7-8. IMCC identifies the specific provisions as those that the previous decisions in this case found violated the Shipping Act, such as restricting the unilateral decision of a motor carrier to select the chassis provider of its choice in MH movements; linking MH chassis volumes with CH prices; and effectively locking the motor carrier’s usage to the ocean carrier’s default chassis provider for MH movements. *Id.* Further, IMCC asserts that a nationwide order could be issued without any further discovery. *Id.* at 9.

Respondents assert that “no two locations share the same chassis provisioning model;” IMCC should first be required to specifically identify the ports and terminals to which the ruling should be extended; and discovery is necessary as “reasonableness is a factual issue which must be determined at each geographic location.” Second JSR at 11-13.

Respondents also suggest that the underlying decisions prohibiting contractual linkage of carrier haulage rates to merchant haulage volumes when the motor carrier does not have a choice of chassis providers is limited to CCM pools. Second JSR at 10-11. However, the underlying decisions are not so limited. *See* I.D. at 42-47; Commission Order at 39-50.

IMCC acknowledges that any issues within the four test regions “are properly subject to the ongoing enforcement investigation and, as enforcement matters, fall outside the scope of this proceeding.” Second JSR at 10. Within the test regions, the parties completed discovery in early 2022. Discovery regarding other regions was delayed until after a decision on the test regions. IMCC now seeks a nationwide order that would extend the decisions to current and future practices nationwide without any additional discovery. *Id.* at 7-9. The current record and request to proceed without additional discovery will be addressed before discussing the request for a nationwide prohibition of current and future practices.

IMCC’s complaint did not identify any specific agreements at issue beyond those created by OCEMA and CCM and the box rules in the Pool of Pools. Although the complaint does not identify specific ocean carrier contracts, in the Second JSR, IMCC states that the “record is replete with multimarket or nationwide contracts between ocean carriers and intermodal equipment providers containing provisions that the Presiding Officer’s Order, affirmed by the Commission, has found to violate the Shipping Act.” Second JSR at 8. Indeed, the parties’ Joint Statement of Facts, briefing, and appendices provided prior to the Initial Decision included more than twenty different contracts between specific ocean carriers and chassis providers, many with multiple amendments. The Initial Decision and Commission Order addressed these contract provisions generally in the four test markets, without making any findings about specific contracts.

Given the changes in the market since discovery was completed in 2022, it is not possible to issue a nationwide order on the existing record. Respondents have a right to highlight differences in geographic regions. Indeed, the record includes numerous agreements with provisions specific to particular pools or geographic areas. *See, e.g.*, CX 2782-2794; CX 2544, CX 2555-2562, CX 2567-2570; CX 5835-36, CX 5842-5852. While it is not clear whether

differences in geographic regions would impact the outcome, the TPB Report’s statement that there are “highly varied drayage markets” further reinforces that additional discovery is appropriate.

For example, Respondents argue that in some locations, trucker-owned wheels provide a viable alternative to the ocean common carriers’ IEP and therefore, “the restrictions complained of do not markedly impede the ability of competing chassis providers to compete for merchant haulage business.” Second JSR at 6. The impact of trucker-owned wheels was briefed and considered in the four test markets. Thus, it is not clear whether this would be persuasive, as even if an ocean carrier provided options (i.e., the use of the ocean carrier’s IEP or a specific alternative (either another IEP or trucker-owned wheels)) that would still limit the ability of the motor carrier to select the chassis provider of its choice. Therefore, determining whether the availability of trucker-owned wheels in certain locations impacts the facts, including the relevant product market or the legal analysis, would require additional discovery. Respondents also point to wheeled terminals at inland rail locations and ports such as the Port of Charleston and the Port of Norfolk where chassis are provided directly by the ports. Therefore, it would be necessary to permit additional discovery before applying the underlying decisions nationwide.

The record is not clear about whether any of the contracts in the record are still in effect. Respondents object to extending the decisions nationwide based on “outdated” facts regarding “the chassis market as it perhaps existed in very specific locations at least three to five years ago.” Second JSR at 17. IMCC was asked twice after remand to identify the issues that remain, and they did not identify any specific contracts or specific geographic regions. In the First JSR, IMCC stated that “pool operations at other geographies are not an issue,” while asserting that the Commission’s relief directed toward ocean carrier-IEP contracts should become nationwide on the existing record. First JSR at 5. The most recent order specifically required IMCC to “identify any practices by OCEMA, CCM, or the other Respondents that were raised in the complaint and that remain unresolved and not moot.” Order Requiring Second JSR at 5.

Most of the over twenty contracts in the record were filed on April 29, 2022, and there are no exhibits in the record filed after June 16, 2022 – when OSRA 2022 took effect. At least one contract did not identify a specific expiration date, CX 4553; however, the agreements typically include an expiration date. *See, e.g.*, CX 4653, CX 4208, CX 2796, CX 3906, CX 5832. From reviewing the record, the vast majority of the contracts have already expired. *See* Joint Stipulations of Fact, ¶¶ 208-319. The record does include three contracts which have not reached their expiration date after this month. CX 3143 (term July 1, 2021, through June 30, 2026); CX 3535 (term Nov. 28, 2016, through Nov. 27, 2026); CX 3757 (term Oct. 22, 2019, through Oct. 21, 2029). However, the record also includes numerous amendments across these and similar contracts, demonstrating the frequency of such amendments. *See, e.g.*, CX 3815, CX 2521; *see also* JSF ¶¶ 218-221, 240. Even the few non-expired contracts would require additional discovery to determine if they are still in effect or have been amended. Similar to the situation with CCM discussed above, the expired contracts are moot.

Moreover, in the four test regions, ocean common carriers are prohibited from adopting, maintaining, and/or enforcing any regulations or practices that limit the ability of a motor carrier to select the chassis provider of its choice for merchant haulage. Therefore, the cease-and-desist order regarding contracts in the four test regions would have required changes for those

geographic regions, further demonstrating that the contracts in the record are outdated and moot. If such contracts have not been updated as required, that would be better addressed in the Commission's enforcement proceeding. Thus, discovery would need to occur for other geographic regions, including any updates or amendments to the contracts in the record, if any are still in effect.

Given the underlying decisions, the passage of OSRA 2022, and the changing dynamics of the chassis marketplace, it would not be appropriate to make nationwide findings on the basis of the outdated and moot contracts in the record and additional discovery would be required. Therefore, IMCC's request to extend the decisions nationwide without additional discovery is denied. The next question is whether the proceeding can continue with additional discovery.

If this proceeding were to continue for locations other than the four test regions, the complaint would need to be amended to provide a more definite statement of IMCC's claims, including the specific contracts and geographic regions contested. IMCC seeks a ruling on current or future contracts but as noted above, they are not in the record. Typically, the contracts are between individual ocean carriers and IEPs. Given that the ocean carriers have different contracts, and that the ocean carriers compete with each other for chassis, it may be preferable to bifurcate the proceeding so that each Respondent and/or geographic region could be addressed separately. Neither IMCC nor the Respondents have requested such a complex and expensive undertaking, which would require pleading new allegations and providing a new factual record.

IMCC's request to address future contracts is also not well taken. Rather, it is appropriate to dismiss any remaining claims where continued proceedings would serve no practical purpose. "The practice of holding cases open for an indefinite period in the future to consider possible future violations is not favored by the Board." *The Port Commission of the City of Beaumont v. Seatrain Lines, Inc.*, 3 F.M.B. 581, 582 (FMB April 10, 1951). In *Beaumont*, subsequent to the decision in the case, complainants advised that respondent discontinued the operation of its vessels and argued that "if the complaint should be assigned for further hearing by the examiner as directed by the Board's prior decision, the parties would be dealing with a non-existent operation" and that such a hearing "would serve no practical purpose" so that the case should "be held in abeyance." *Id.* at 581-82. Respondent requested that the case be set for hearing or the complaint dismissed. *Id.* at 582. The Federal Maritime Board found "that since respondent has discontinued the carriage of cargo" that "the entry of an order granting the relief prayed for in the complaint would now be an idle gesture" and that it "appears the case has now become moot." *Id.* Accordingly, an order dismissing the proceeding without prejudice was issued. *Id.*

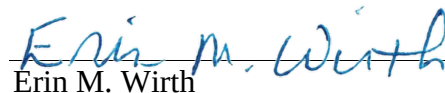
IMCC has not identified ocean carrier contracts objected to in the complaint that remain unresolved and not moot, therefore, dismissal of the remaining issues is appropriate. Continuing this proceeding to assess ocean carrier contracts nationwide would require costly and time-consuming motions practice and discovery and would delay final resolution. It is not an efficient use of party or Commission resources. This decision is not taken lightly as the parties have already expended significant resources in this proceeding. However, the Initial Decision and Commission Order, and the reasoning behind them, still stand. These underlying decisions have already ruled on contracts in the four test regions as a matter of law. Thus, if current or future contracts limit the ability of motor carriers to select the chassis provider of their choice, those practices will need to meet the legal requirements outlined in the underlying decisions.

While large proceedings such as this, which addressed the market for all chassis in the United States, have their place, in any future proceedings, it may be more efficient to focus on specific respondents, contracts, or geographic regions. The broad nature of the Respondents, including ocean common carriers who compete with each other, and OCEMA and CCM which are not part of these ocean carrier contracts, could be problematic. If IMCC or other entities wish to challenge specific respondents, contracts, or geographic regions, they may do so in a new proceeding.

III. ORDER

This proceeding was remanded to resolve the remaining claims and for further proceedings consistent with the Commission Order. Given the significant changes in factual circumstances between those described in the complaint and current CCM practices, specifically that the CCM rules have been changed and CCM managed cooperative interoperable pools are permanently winding down operations, therefore, the remaining CCM issues are moot. Moreover, the over twenty ocean carrier contracts with IEPs in the record are outdated or moot. Any current or future violations are best raised in other ongoing or new proceedings. Further, the parties have clarified that there are no remaining issues regarding the Los Angeles, Long Beach Pool of Pools and that IMCC is not seeking reparations.

For the reasons set forth above, it is hereby **ORDERED** that the remaining issues remanded by the Commission be **DISMISSED AS MOOT**. This decision does not address or alter the Initial Decision or Commission Order and the cease-and-desist order imposed in the underlying decisions continues to be in effect.



Erin M. Wirth

Chief Administrative Law Judge